Final Exam

Second Semester 2023/2024 (Time : 2 hours)

Course Name: Principles of Auditing

level (3) Model (A)

جامعة حلوان
HELWAN UNIVERSITY

Answer all the following Multiple-Choice Questions

1. Standards issued by the Public Company Accounting Oversight Board must be followed by CPAs who audit:

A) Both private and public companies	B) Public companies only.	C) Private companies, public companies, and nonprofit entities	D) Private companies only

2. Auditing standards make .... distinction(s) between the auditor's responsibilities for searching for errors and fraud

A) Little	B) A significant	C) No	D) Various

3. Misappropriation of assets .....

A) Is generally committed by company management.	B) Harms the users of the financial statements by providing them incorrect financial data for their decision making.	C) Causes harm to stockholders because the assets are no longer available to their rightful owners.	D) Causes the financial statements to be misstated since the misappropriation usually involves material amounts.

4. One of the characteristics of professional skepticism is ....., which is the conviction to decide for oneself, rather than accepting the claims of others.

A) Interpersonal understanding	B) Autonomy	C) Suspension of judgment	D) Self-esteem.

5. A questioning mindset .....

A) Means the auditor must prove every statement that management makes to them	B) Means the auditor should approach the audit with a "do not trust anyone" mental outlook.	C) Assures that the auditor will only accept honest clients.	D) Means the auditor should approach the audit with a "trust but verify" mental outlook.

6. Determine which of the following is most correct statement regarding the reliability of audit evidence.

A) Information that is obtained from internal sources is the most reliable audit evidence.	B) Reliability of audit evidence is dependent upon the evidence being subjective.	C) Reliability of evidence refers to the amount of evidence obtained	D) If internal controls are effective, evidence obtained is more reliable than when the controls are not effective.

7. The evaluations of financial information through analysis of possible relationships among financial and nonfinancial data is the definition of

A) Analytical procedures	B) Tests of transactions.	C) Tests of balances.	D) Auditing.

8. The auditor is determining that the correct selling price was used for billing and that the quantity of goods shipped was the same as the quantity billed. He is gathering evidence about which transaction-related audit objective

A) Existence	B) Completeness	C) Accuracy	D) Cut-off

9. The characteristic that distinguishes auditors from accountants is the:

A) Auditor's ability to interpret accounting principles generally accepted in the United States	B) Auditor's education beyond the Bachelor's degree	C) Auditor's ability to interpret FASB Statements	D) Auditor's accumulation and evaluation of evidence related to a company's financial statements.

10. "The list of audit procedures for an audit area or entire audit" is called an....

A) Audit procedure.	B) Audit plan.	C) Audit program.	D) Audit guide.

11. Which one of the following is not one of the characteristics of reliability evidence?

A) Independence of provider	B) Effectiveness of internal control structure.	C) Size of the sample	D) Degree of objectivity.

12. Fraudulent financial reporting is most likely to be committed by whom?

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A) Outside members of the company's board of directors.	B) Employees of the company	C) Company management	D) The company's auditors

13. Trace column totals from the journal to the general ledger is considered what type of evidence?

A) Physical count	B) Confirmation	C) Observation	D) Reperformance

14. The general standards stress the importance of .....

A) Evidence accumulation	B) The personal qualities which the auditor should possess	C) Communicating the auditor's findings to the reader	D) All of these

15. According to PCAOB audit standards, audit documentation must be retained for .....

A) One year.	B) Three years	C) Five years	D) Seven years.

16. Which of the following is not one of the four decisions about what evidence to gather and how much of it to accumulate?

A) Which audit procedures to use	B) Which accounts must agree to the general ledger	C) When to perform the procedures	D) What sample size to select for a given procedure

17. Which of the following services provides the lowest level of assurance on a financial statement?

A) A review	B) An audit	C) Neither service provides assurance on financial statements	D) Each service provides the same level of assurance on financial statements.

18. Obtain information about the client's internal controls by asking questions of client personnel ....

A) Confirmations	B) Recalculations	C) Reperformances	D) Inquiry of the client

19. An audit of historical financial statements is most often performed to determine whether the:

A) Organization is operating efficiently and effectively	B) Entity is following specific procedures or rules set down by some higher authority.	C) Management team is fulfilling its fiduciary responsibilities to shareholders	D) None of these

20. What is the primary purpose of physical examination as an audit evidence type?

A) To assess completeness objective.	B) To determine accurate valuation of assets.	C) To verify that an asset actually exists.	D) To confirm information with third parties.

21. What is the main limitation of inquiry as an audit evidence type?

A) Provides conclusive evidence.	B) Responses from attached parties are strong evidence.	C) Detects material misstatements effectively.	D) Usually lacks independence in responses.

22. Which of the following audit evidence types is considered the most expensive to obtain?

A) Inspection.	B) Physical examination.	C) Reperformance.	D) Observation.

23. Which type of audit documentation contains data of a current nature?

A) Future Files.	B) Current Files.	C) Permanent Files	D) Rotational Files.

24. Both fraudulent financial reporting and misappropriation of assets are harmful to:

A) Stockholders.	B) Auditors.	C) Government	D) Management.

25. When an illegal act is identified or suspected, the auditor should obtain an understanding of the situation and discuss the matter with:

A) Employees involved	B) Clients	C) Management at a level above those involved.	D) Competitors

26. Which of the following statements is usually true?

A) Materiality is easy to quantify	B) Fraudulent financial statements are often easy for the auditor to detect	C) Reasonable assurance is a low level of assurance that the financial statements are free from material misstatement	D) An item is considered material if it would likely have changed or influenced the decisions of a reasonable person using the statements.

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27. The PCAOB describes five categories of management assertions, which of them are not defined as assertion:			
A) Detail Tie-In.	B) Realizable Value.	C) Valuation or allocation	D) A&B
28. the phrase "in our opinion" in the auditor's report is intended to inform users that auditors:			
A) Guarantee fair presentation of the financial statements.	B) Act as insurers of the accuracy of the statements	C) Certifies the material presented in the statements by management.	D) Base their conclusions about the statements on professional judgment.
29. Any service that requires a CPA firm to issue a report about the reliability of an assertion that is made by another party is a(n):			
A) Accounting and bookkeeping service.	B) Attestation service	C) Assurance service	D) Tax service.
30. Three common types of attestation services are:			
A) Audits, reviews, and "other" attestation services	B) Audits, verifications, and "other" attestation services	C) Reviews, verifications, and "other" attestation services.	D) Audits, reviews, and verifications
31. The objective of an audit of the financial statements is an expression of an opinion on			
A) The fairness of the financial statements in all material respects.	B) The accuracy of the financial statements.	C) The accuracy of the annual report	D) The accuracy of the balance sheet and income statement
32. The responsibility for adopting sound accounting policies and maintaining adequate internal control rests with the			
A) Board of directors	B) Company management	C) Financial statement auditor.	D) Company's internal audit department.
33. Which of the following would most likely be deemed a direct effect illegal act?			
A) Violation of federal employment laws	B) Violation of federal environmental regulations	C) Violation of income tax laws	D) Violation of civil rights laws
34. If a short-term note payable is included in the accounts payable balance on the financial statement, there is a violation of the			
A) Completeness assertion.	B) Existence assertion.	C) Cut-off assertion	D) Classification assertion
35. If management insists on financial statement disclosures that the auditor finds unacceptable, the auditor can issue :			
A) Adverse opinion	B) Qualified opinion	C) Clean opinion	D) A or B depending on level of materiality.
36. Management assertions are			
A) Directly related to the financial reporting framework used by the company, usually U.S. GAAP or IFRS	B) Stated in the footnotes to the financial statements	C) Explicitly expressed representations about the financial statements	D) Provided to the auditor in the assertions letter, but are not disclosed on the financial statements
37. Audit evidence has two primary qualities for the auditor: relevance and reliability. Given the choices below, which provides the auditor with the most reliable audit evidence?			
A) General ledger account balances	B) Confirmation of accounts receivable balance received from a customer.	C) Internal memo explaining the issuance of a credit memo.	D) Copy of month-end adjusting entry
38. Auditors accumulate evidence to			
A) Defend themselves in the event of a lawsuit	B) Determine if the financial statements are correct	C) Satisfy the requirements of the Securities Acts of 1933 and 1934	D) Reach a conclusion about the fairness of the financial statements.
39. If management agree on make necessary adjustments on financial statement disclosures that the auditor finds unacceptable, the auditor can issue:			

A) Adverse opinion

40..... deals wi

A) Occurrence. completeness.

41. Watch client emp what type of evidenc

A) Physical count.

42. An ..... is the

A) Audit objective

43. Foot entries in the of evidence?

A) Physical count.

44. One of the follov technique:

A) Bank statements

45. If the balance shee and both are released occurred up to ...

A) December 31, 2018

46. All of the following

A) The existence of mat related party transactions

47. Which act in the US the SEC for approval?

A) The Securities Act of 1933.

48. Which organization Egypt?

A) Auditors Oversight Bo (AOB)

49. Which international

A) International Federatior Accountants (IFAC)

50. The assertion related

A) Completeness.

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A) Adverse opinion	B) Qualified opinion.	C) Clean opinion	D) A or B depending on level of materiality.

40..... deals with potential overstatement and ..... deals with understatements (unrecorded transactions).

A) Occurrence; completeness.	B) Completeness; occurrence.	C) Accuracy; classification	D) Classification; accuracy

41. Watch client employees count inventory to determine whether company procedures are being followed is considered what type of evidence?

A) Physical count.	B) Confirmation.	C) Observation.	D) Recalculation.

42.An ..... is the detailed instruction that explains the audit evidence to be obtained during the audit.

A) Audit objective	B) Audit procedure	C) Audit assertion	D) Audit program

43. Foot entries in the sales journal to determine whether they were correctly totaled by the client considered what type of evidence?

A) Physical count.	B) Confirmation.	C) Observation.	D) Recalculation.

44. One of the following not considered as external documents when an auditor considered inspection as an audit technique:

A) Bank statements.	B) Vendors' invoices.	C) Signed lease agreements.	D) Payroll time cards.

45. If the balance sheet of a private company is dated December 31, 2018, the audit report is dated February 8, 2019, and both are released on February 15, 2019, this indicates that the auditor has searched for subsequent events that occurred up to ...

A) December 31, 2018.	B) January 1, 2019.	C) February 8, 2019.	D) February 15, 2019.

46. All of the following would require an emphasis of matter paragraph except for

A) The existence of material related party transactions	B) The lack of auditor independence	C) Important events occurring subsequent to the balance sheet date.	D) Material uncertainties disclosed in the footnotes

47. Which act in the USA requires most companies planning to issue new securities to submit a registration statement to the SEC for approval?

A) The Securities Act of 1933.	B) The Securities Act of 1934.	C) Sarbanes - Oxley Act of 2002.	D) PACOB Act

48. Which organization is responsible for establishing ethical requirements for auditors registered with the EFR Egypt?

A) Auditors Oversight Board (AOB)	B) Public Company Accounting Oversight Board (PCAOB)	C) International Auditing and Assurance Standards Board (IAASB)	D) Securities and Exchan Commission (SEC)

49. Which international organization develops the International Standards on Auditing (ISA)?

A) International Federation of Accountants (IFAC)	B) American Institute of Certified Public Accountants (AICPA).	C) Public Company Accounting Oversight Board (PCAOB).	D) Egyptian Society for Accountants and Auditors

50. The assertion related to recording transactions in the correct accounting period is:

A) Completeness.	B) Accuracy	C) Cut-off.	D) Occurrence

End of Questions

Best Wishes

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